

Interethnic Proximity, Contact, and Politics in Malaysia

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► Slides

Ethnic Proximity is Important for Development

- Managing tensions between diverse groups is a global challenge
- Success depends on nature of policies/institutions
- Inclusive institutions can align incentives $\implies \uparrow$ development & growth
(Acemoglu et al. 2001; Alesina & La Ferrara 2005)
- Otherwise: $\uparrow$ inequality & conflict
(Michalopoulos & Papaioannou 2013; Nunn 2009)

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Q. What is the long-run impact of $\uparrow$ interethnic proximity on political and economic development?

This Paper: What We Do

- **Context:** Colonial-era forced resettlement program (1948-1951): 500,000 ethnic Chinese moved into mono-ethnic villages (25% of all ethnic Chinese, 10% of total population)
⇒ Existing ethnic majority Malays: ↑ proximity to ethnic minority Chinese

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- **Context:** Colonial-era forced resettlement program (1948-1951): 500,000 ethnic Chinese moved into mono-ethnic villages (25% of all ethnic Chinese, 10% of total population)
⇒ Existing ethnic majority Malays: ↑ proximity to ethnic minority Chinese
- **Identification:** Construct counterfactual village locations based on plausibly exogenous military site-selection criteria (Dell & Olken 2020)
 - 1,000 sets of counterfactual villages
 - Treatment effect: subtract average of 1,000 coefficients from real coefficient
 - **Exposure:** Compare outcomes of (largely) ethnic Malay polling districts of varying distances to nearest actual Chinese village (vis-a-vis counterfactual village)

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- **Granular data:** Polling district level
 - Vote shares for ethno-nationalist coalition: 939 polling districts (GE2013), 1004 (GE2018) (median: 5.4 km², 1,400 voters, 2-3 villages)
 - Economic development: nightlights, pop. density

This Paper: Preview of Findings

- $\uparrow$ proximity $\implies$ $\downarrow$ vote shares for ethno-nationalist coalition

(hyperlocal: 0-2km)

- $\uparrow$ proximity $\implies$ $\uparrow$ local development and urbanization
 - Agglomeration benefits matter but don't seem to fully explain the political effects

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 - Agglomeration benefits matter but don't seem to fully explain the political effects
- **Mechanisms:**
 - Historical, interethnic economic complementarities
 - $\uparrow$ contact and economic interactions $\implies$ $\uparrow$ income/wealth & $\downarrow$ **zero-sum thinking**
 - But little difference in # of friends and ethnic attitudes towards integration
- Effects not driven by Δ income and wealth
- We rule out differences in ethnic composition, voter turn out, selective migration, and exposure to new people

Setting & Data

Natural Experiment: British Resettlement of Ethnic Chinese (1950-1958)

- Post-WWII Communist Emergency: British vs Malayan Communist Party
- Communists: ↑ access to support from rural ethnic Chinese
 - Rural Chinese: dispersed settlements along rivers and jungles
 - ≠ stereotype of rich, urban Chinese minority
- “Briggs Plan”: fight for “hearts and minds” to cut-off communist support
- Top-down, rapid military operation: 500,000 rural Chinese relocated to newly established, fenced up villages (1949-1952)
(25% of all ethnic Chinese, 10% of total population)
 - Hyper-local: Resettlement within 6-9km (Nyce 1973)
 - More concerned with military expedience (than acceptance of Malay communities)

Sampling Frame

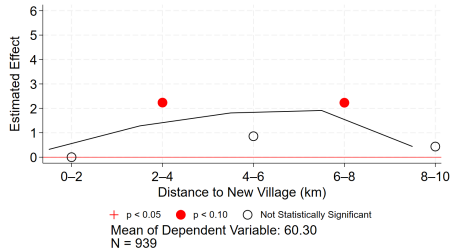
- **Chinese New Villages (CNVs):**
 - 236 CNVs identified and selected from historical records and official maps (1958 Malayan Christian Council Survey; Ministry of Housing and Government 2012)
 - Selection criteria:
 - ① Mandarin-speaking villages
 - ② Excluded non-Chinese resettlements and urban areas in 1947
- **Polling districts and electoral information:**
 - 1,457 and 1,557 polling districts in 2013 and 2018 (Malaysian Electoral Commission)
 - The smallest geographical unit at which election results are available
 - Selection criteria:
 - ① ≤ 10 km from CNVs
 - ② Exclude polling districts that contain a CNV
 - ③ Restrict to historically rural polling districts in 1947
 - ④ Exclude majority ethnic Indian polling districts

Empirical Analysis & Main Results

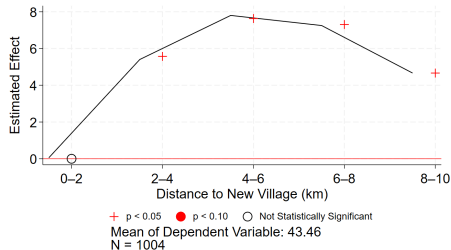
Empirical Strategy: Counterfactual Village Construction

- Challenge: Locations of CNVs may potentially be non-random
- Randomization inference-style approach to purge the effects of any unobserved factors correlated with the combination of British military site suitability criteria (following Dell & Olken (2020); formalized by Borusyak & Hull (2023))
- Construct 1,000 sets of counterfactual/fake villages for each real CNV by imposing the following requirements based on British military criteria [▶ full](#):
 - ① Road accessibility, defensible
 - ② Defensibility/crop suitability
 - ③ Access to water sources, schools, hospitals, and adequate farmland
 - ④ Exclude all land reserved for Malays
- Identifying assumption: any differences between polling districts located close to an actual CNV and polling districts located close to 1,000 counterfactual points can be attributed only to the effects of being x km away from an actual CNV

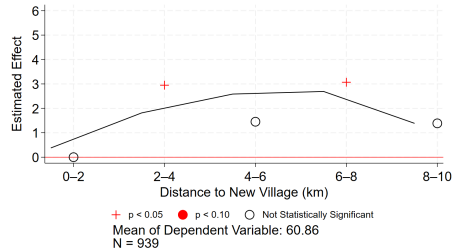
Effects of Chinese New Villages on Ethno-nationalist Vote Share



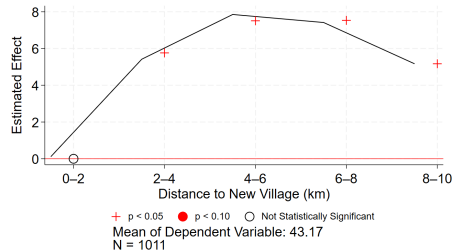
State election (2013)



State election (2018)



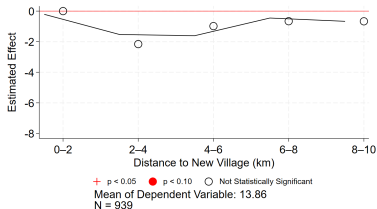
Federal election (2013)



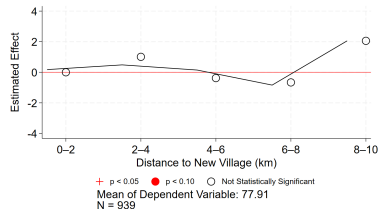
Federal election (2018)

Δ in Malay Political Identity

Voting Effects Unlikely to be Driven by Ethnic Composition



(A) Share of Registered Ethnic **Chinese** Voters



(B) Share of Registered Ethnic **Malay** Voters

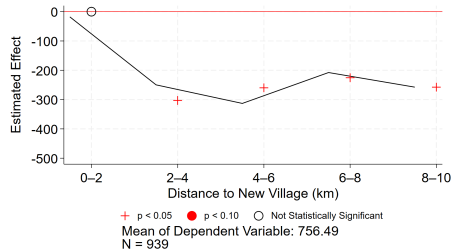
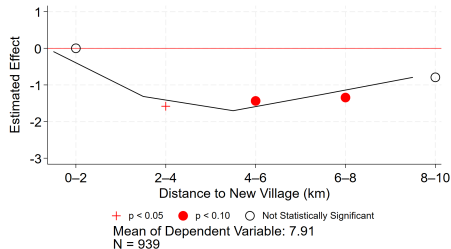
- **Balance in the ethnic compositions of registered voters (2013)**
- Back-of-the-envelope (Becker and Woessmann 2009; Calderon et al. 2023): implausibly high ethnic Chinese turnout rates needed to fully explain observed changes in vote shares [▶ Figure](#)
- Assuming (unrealistically) all Chinese voted against National Front

We rule out:

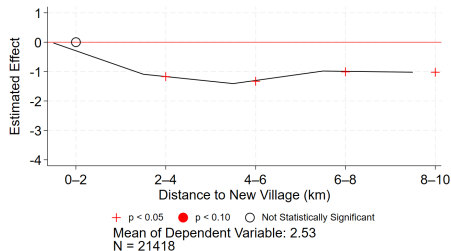
- Differences in voter turnout [▶ Voter turnout](#)
- Exposure to newcomers [▶ Malay New Villages](#)
- Policy changes made by the civic-nationalist coalition? [▶ Winning coalition](#)

Mechanisms

(3) Economic Development and Agglomeration

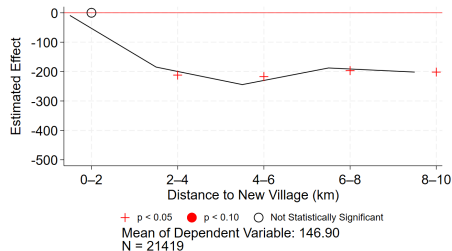


Nightlight luminosity (polling district)



Nightlight luminosity (grid cell)

Population density (polling district)



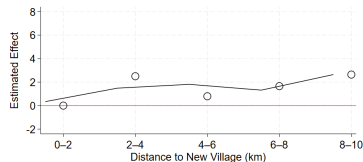
Population density (grid cell)

Highly Localized Agglomeration Benefits with Limited Spatial Spillovers

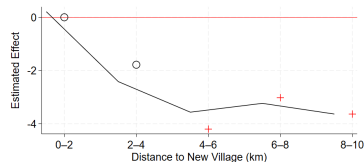
- At a higher level of aggregation (polling district level, relative to grid cell level), the economic effects largely dissipate
- The significant political effects at the polling district level suggest that they cannot be fully explained by local economic development

Historical Interethnic Economic Complementarities

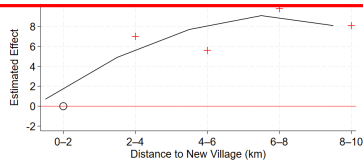
Heterogeneity by Initial Rubber and Tin Employment Shares in CNVs



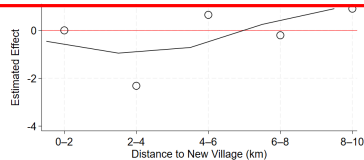
Ethno-nationalist vote share (below-median)



Nightlight luminosity (below-median)



Ethno-nationalist vote share (above-median)



Nightlight luminosity (above-median)

Historical Interethnic Complementarities

- Malays living immediately near CNVs might have experienced initial economic benefits from employment in Chinese rubber estates and tin mines
- Economic benefits, however, might have decreased over time given that ethnic Chinese in CNVs have largely transitioned to smallholder cash crop or commerce
(Jomo 2017)
- Initial economic benefits could nonetheless lead to positive interethnic attitudes that persisted over time and are reflected in more inclusive political preferences
(Jha (2013) found a similar mechanism for the Hindu-Muslim relationship in India)
- Primary survey data allows us to investigate this further (next)

Attitudes and Behaviors Toward Chinese: Primary Survey

- From December 2024 to July 2025 (still ongoing)
- So far, ≈ 1750 Malay males $\geq$ age 18 from ≈ 75 ('treated' & 'control') villages
- Sampling is based on nearest-neighbor matching ► Empirical Strategy
- The survey targeted four key dimensions:
 - ① Interactions—frequency of interactions with Chinese people in primary and secondary schools, and workplace
 - ② Social capital—the number of Chinese contacts saved in mobile phone; whether they have close Chinese friends, and openness to intermarriage for themselves or their children/grandchildren
 - ③ Trust—general trust in Chinese, and willingness to entrust a Chinese person with child-care, which measures situational trust
 - ④ Emotions—empathy and envy toward Chinese
- The survey also collects various individual-level economic outcomes

Table: Attitudes and Behaviors toward Chinese

	Interactions				Social capital			Trust		Emotions	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)
	= 1 if ever visited CNV	= 1 if ≥ some Chinese pri school	= 1 if ≥ some Chinese sec school	= 1 if ≥ some Chinese colleagues	= 1 if ≥ 10% Chinese phone contacts	= 1 if have good Chinese friend	= 1 if ≥ somewhat willing Chinese marriage	= 1 if ≥ somewhat trust	= 1 if ≥ somewhat entrust kid	= 1 if sad if Chinese treated unfairly	= 1 if feel bad if Chinese have bigger houses
Treat	0.080*** (0.026)	0.011 (0.007)	-0.027 (0.018)	0.048*** (0.017)	0.017 (0.028)	-0.023 (0.017)	0.020 (0.018)	-0.022 (0.021)	0.030*** (0.010)	0.019 (0.022)	0.022** (0.010)
R ²	0.052	0.020	0.100	0.036	0.085	0.134	0.070	0.097	0.107	0.068	0.140
Mean Dep. Var. (Control)	0.161	0.007	0.135	0.097	0.214	0.158	0.699	0.317	0.134	0.739	0.056
Std. Dev. Var. (Control)	0.368	0.084	0.342	0.296	0.411	0.365	0.459	0.466	0.341	0.440	0.229
Observations	1335	1316	1084	1045	1354	1354	1357	1315	1357	1351	1352
Cluster	Cohort × Nearest Chinese New Village										
FE	Nearest Chinese New Village										

Notes: This table reports OLS estimates using the primary survey data. The sample consists of individuals who were born in the surveyed village. The sample comprises two administrative districts in Johor. The dependent variables in columns 1 through 11 are indicator variables that take the value of 1 when a Malay: has ever visited the nearest Chinese New Village (col 1); had at least some ($\geq 10\%$ to more than half) Chinese primary school classmates (col 2); had at least some ($\geq 10\%$ to more than half) Chinese secondary school classmates (col 3); has at least some ($\geq 10\%$ to more than half) Chinese colleagues (col 4); has at least 10% Chinese cell phone contacts (col 5); has at least one good friend who is Chinese (col 6); is somewhat willing or very willing to have a family member marry a Chinese (col 7); somewhat trusts or trusts a Chinese a lot (col 8); somewhat trusts or trusts a lot, a Chinese neighbor to take care of their child (col 9); feels bad when Chinese are treated unfairly (col 10); and feels bad if Chinese have bigger houses (col 11). All regressions include nearest Chinese New Village fixed effects and two-way clustered standard errors at the cohort and nearest new village-level.

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

- Increased interaction does not appear to translate into deeper social integration
- While general trust remains unchanged, **situational trust** ↑, which possibly captures behavioral intention in real-life situations
- This pattern suggests that repeated contact can reduce bias and improve intergroup

Table: Individual-level Economic Outcomes

	Economic status			Zero-sum thinking			Business & Labor market		
	(1) = 1 if high income (≥ RM3,500)	(2) Wealth class (1=lower, 2=lower middle, 3=upper middle, 4=top)	(3) Years of education	(4) Chinese take away Malay jobs	(5) Chinese take away business/trade opportunities of Malays	(6) If Chinese richer, other ethnic groups poorer	(7) = 1 if lower business profits without Chinese	(8) = 1 if Chinese in the same occupation	(9) = 1 if lower wage/income without Chinese
Treat	0.045** (0.018)	0.053** (0.025)	0.077 (0.155)	-0.066** (0.025)	-0.059* (0.033)	-0.018 (0.038)	0.049* (0.028)	0.065** (0.026)	-0.056*** (0.018)
R ²	0.038	0.076	0.053	0.165	0.106	0.113	0.267	0.044	0.082
Mean Dep. Var. (Control)	0.134	1.608	10.066	2.766	2.833	2.760	0.104	0.206	0.140
Std. Dev. Var. (Control)	0.341	0.641	2.610	0.780	0.792	0.854	0.307	0.405	0.347
Observations	1237	1342	1293	1338	1321	1321	350	1036	1030
Cluster FE	Cohort × Nearest Chinese New Village Nearest Chinese New Village								

Notes: This table reports OLS estimates using the primary survey data. The sample consists of individuals who were born in the surveyed village. The sample comprises two administrative districts in Johor. The dependent variables are defined as follows: monthly income higher than or equal to RM3,001 - RM3,500 (col 1); the categorical wealth class based on enumerators' assessment (col 2); years of education (col 3); in this country, the Chinese frequently take away Malay jobs (Strongly disagree=1 to Strongly agree=4) (col 4); in this country, the Chinese frequently take away business/trade opportunities of Malays (Strongly disagree=1 to Strongly agree=4) (col 5); in this country, if one ethnic group becomes richer, other ethnic groups typically become poorer (col 6); =1 if answering to the question: if there were no Chinese villages nearby, how much do you think your profits would have changed? (col 7); if answering more than to the question in your area, excluding your colleagues, how many Chinese are typically in the same occupation as you? (col 8); =1 if answering to the question: if there were no Chinese working in the same occupation as you, in the region where your job is located, how much would your wage or income be changed? (col 9). All regressions include nearest Chinese New Village fixed effects and two-way clustered standard errors at the cohort and nearest new village-level. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

- Malays near CNVs are less likely to view Chinese take away jobs or business/trade opportunities from Malays (col. 4 & 5)
- Consistent with the **interethnic economic complementarity**

Conclusions

- Malaysia's colonial-era forced resettlement program (1948-1951), which moved 500,000 ethnic Chinese into isolated, mono-ethnic camps
- $\uparrow$ proximity $\implies$ $\downarrow$ vote shares for ethno-nationalist coalition
(hyperlocal: 0-2km)
- $\uparrow$ proximity $\implies$ $\uparrow$ local development and urbanization (highly localized)
- Primary mechanisms:
 - Historical, interethnic economic complementarities
 - Increased trust and social integration

Appendix

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'Don't let this happen in Perak' plea by Sultan

THE Sultan of Perak today appealed to the people to restore peace and orderliness in the state and to remain calm and patient.

He addressed a meeting at the Police Contingent headquarters here, attended by about 20 community and political party leaders, including some who had been elected to Parliament and the State Assembly in the recent elections.

Also present were the Minister
Nasser Dafa Hagi Ahmed bin Said,
the State Secretary, Imbe Abdi
Ali bin Ismail, the State Legal
Advisor, Sheikh Abdi Rahmon bin
Abdi Ali Bakar, and senior
government officers.

Usta Ahmad told the meeting: "Despite our differences, we have ruled here in darkness what action to take for the well being of the state."

The committee subsequently decided that additional letters, signed by all community and political leaders, calling on the people to remain calm and help restore peace and order in the State, be distributed to the people.

More than 100,000 copies of the appeal letter are expected to be printed.

"In a 'please go back and tell your people' message the Sultan said: 'At Brunei we are in a

THE Yang di - Pertuan Agong has issued a proclamation of emergency under clause 2 of article 150 of the constitution — to secure public safety.

The Tengku spoke of a "real attempt" by disloyal elements to overthrow the Government by force of arms and spread panic throughout the country.

The Yang di-Pertuan Agong issued two other proclamations earlier this evening.

PENANG, Wed.—The new Chief Minister, Dr. Lim Chong Eu, today called on the people of Penang in "urgent calm and help one another to maintain peace and order".

The third police officer, Mr. Albert Moh, said the situation in the state was "tense, but well under control".

Dr. Lim told reporters: "There has been an incident in Penang. But a curfew has been imposed in view of the overall situation in the country." Dr. Lim urged the people

He assured them that there was no shortage of food and the transport, abortion and other services were free.

"I earnestly hope that the people of Fresno will cooperate fully with the authorities, particularly the police and security forces."

He also called on the good will committees in the State to exercise their influence "so that we in Penang will be able to preserve peace and harmony among all citizens."

The curfew, changed on the state at 1 a.m., was lifted from 11 a.m. to enable people to get out and buy food and re-imposed at 1 a.m. until further notice. "If the situation improves

Prices of fish and pork jumped by 10 to 20 percent, while vegetables were 10 to 20 cents a box.

were 10 to 12 cents a half
degree. A log of pork,
which normally costs
\$1.10, fetched 54 today --
without weighing.

Decision today on S'pore trading room

SINGAPORE, Wed.—The big question here tonight was whether the Singapore trading room of the Stock Exchange would remain closed again.

The decision to close the Singapore was not unanimously acceptable to all brokers, it is believed.

...sion, saying in haste while others thought it would add to tension and give the impression internationally that Singapore was involved in the disturbances.

However, the general consensus of opinion is that

★ See Back Page—Col. 7

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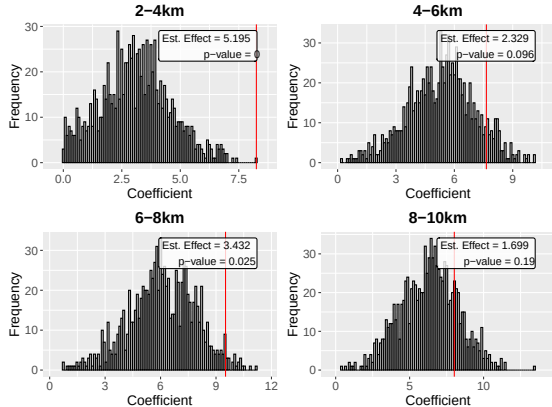
SCALA LEMPER, Wed.
—diagnosed relaxation of

General Principles Of Resettlement (Humphrey 1957)

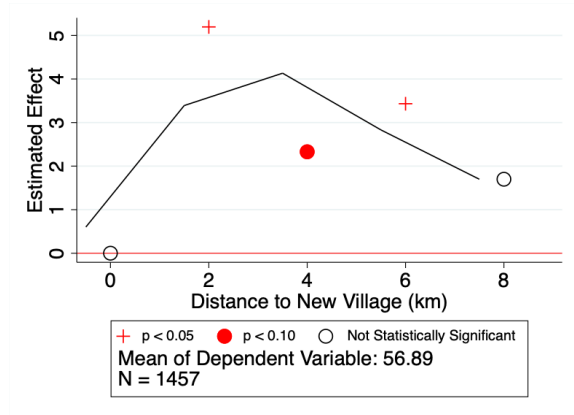
- ① ... located on a main road or other major transportation artery ...
- ② ... relocated, wherever possible, on rolling terrain to promote drainage
- ③ ... concentrated into compact villages that were fenced in and protected by a police post ...
- ④ ... to **minimize squatter dislocations** ...
- ⑤ Sufficient water was to be supplied ...
- ⑥ Amenities such as schools, dispensaries, and community centers ...
- ⑦ Sufficient agricultural land of good quality ... should have land situated within two to three miles of village

Illustration of Methodology

Ethno-nationalistic Coalition Vote Share in 2013 at the Federal Constituency Level



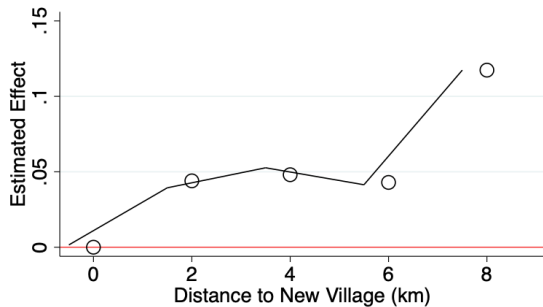
Panel A: Independent Shifts: Counterfactuals



Panel B: Independent Shifts: Plotted Coefficients

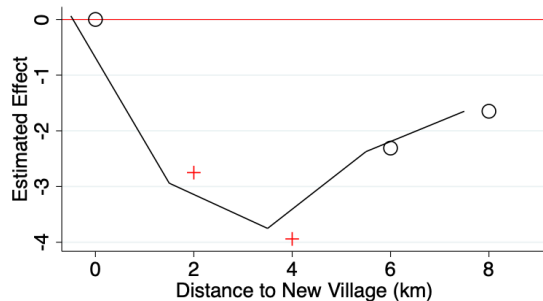
Balance: Pre-Resettlement Urbanization

► Empirical Specification



+ $p < 0.05$ • $p < 0.10$ ○ Not Statistically Significant
Mean of Dependent Variable: 3.94
N = 1457

Log Population Density in 1947

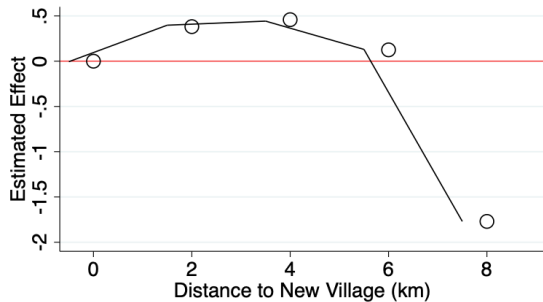


+ $p < 0.05$ • $p < 0.10$ ○ Not Statistically Significant
Mean of Dependent Variable: 38.33
N = 1457

Chinese Share in 1947

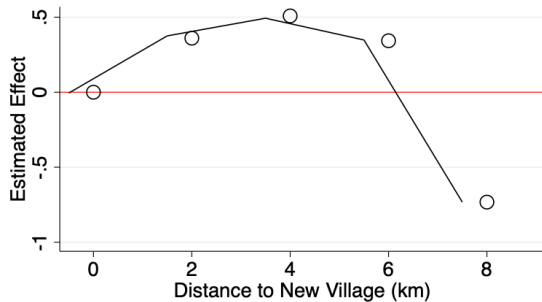
Balance: Pre-Resettlement Demographics

► Empirical Specification



+ $p < 0.05$ ● $p < 0.10$ ○ Not Statistically Significant
Mean of Dependent Variable: 27.37
N = 1457

Distance to urban centre in 1947 (km)

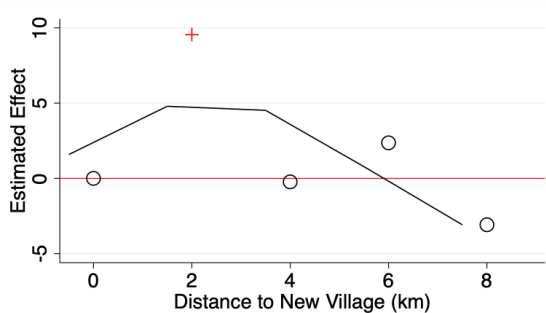


+ $p < 0.05$ ● $p < 0.10$ ○ Not Statistically Significant
Mean of Dependent Variable: 28.36
N = 1457

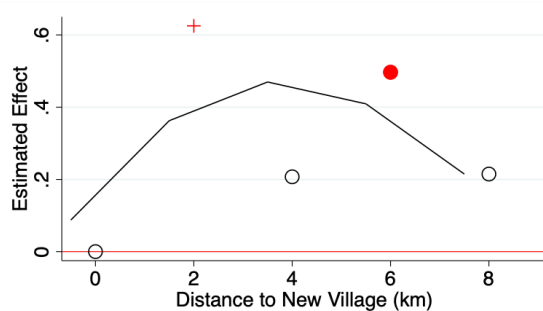
Distance to coast (km)

Balance: Topographical Features

► Empirical Specification



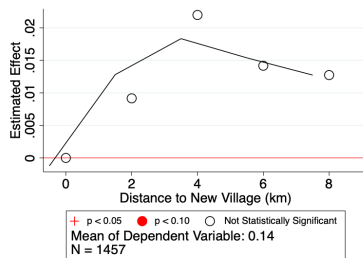
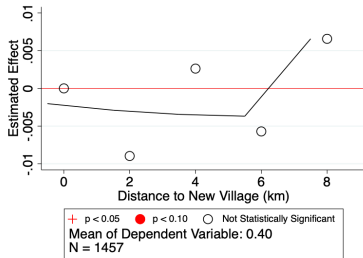
Elevation



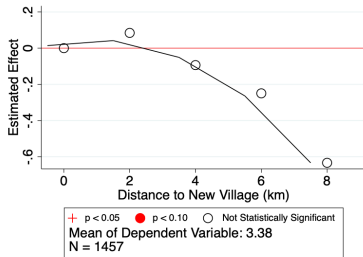
Slope

Balance: Agro-Climatic Conditions

► Empirical Specification

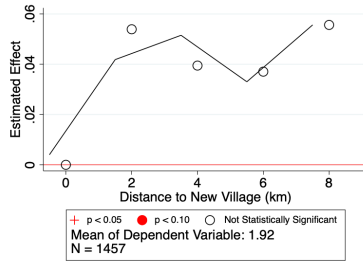


Drainage is very poor



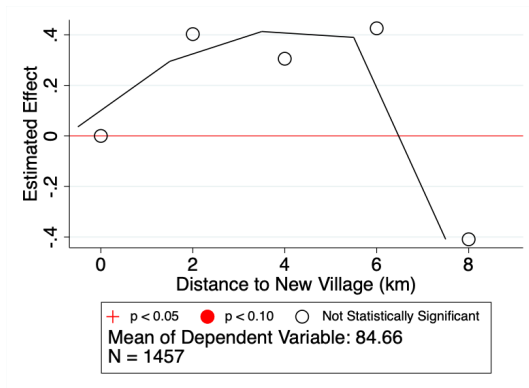
% of Topsoil Organic Carbon

Soil is coarse



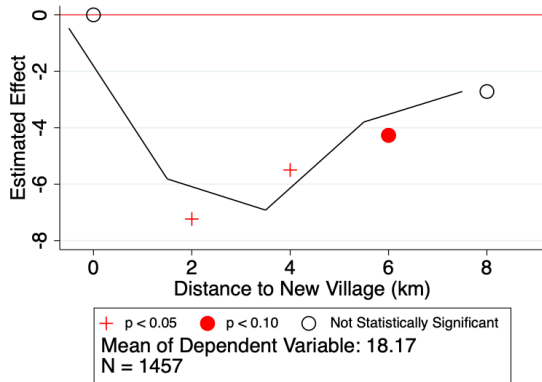
% of Topsoil Sodicity

Effects of Proximity to Chinese New Villages on Voter Turnout, 2013

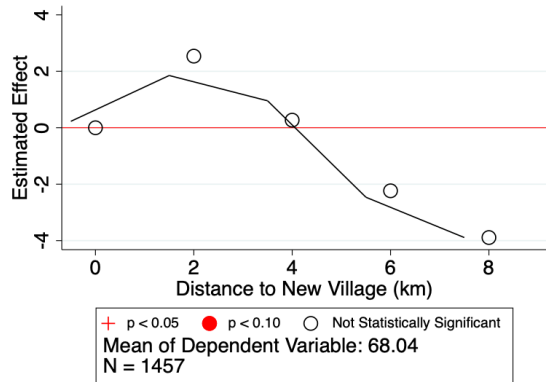


► Alternative Explanations

Effects of Chinese New Villages on Ethnic Composition of Voters



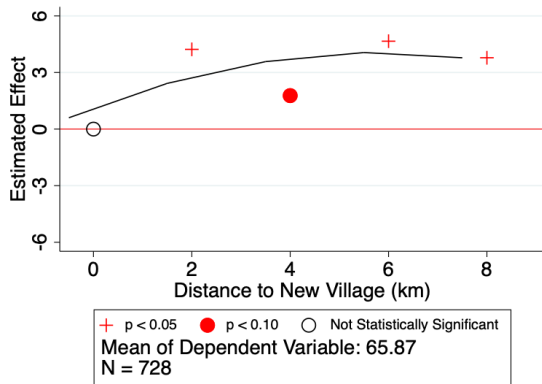
Share of Registered Ethnic Chinese Voters, 2013



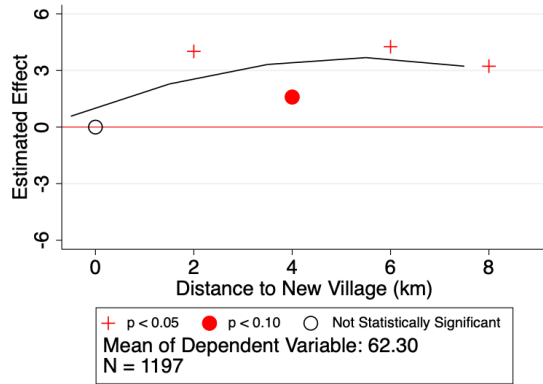
Share of Registered Ethnic Malay Voters, 2013

► Alternative Explanations

The Voting Effects of CNVs among Malay-Dominant Samples



In polling districts where
number of Chinese voters is below median

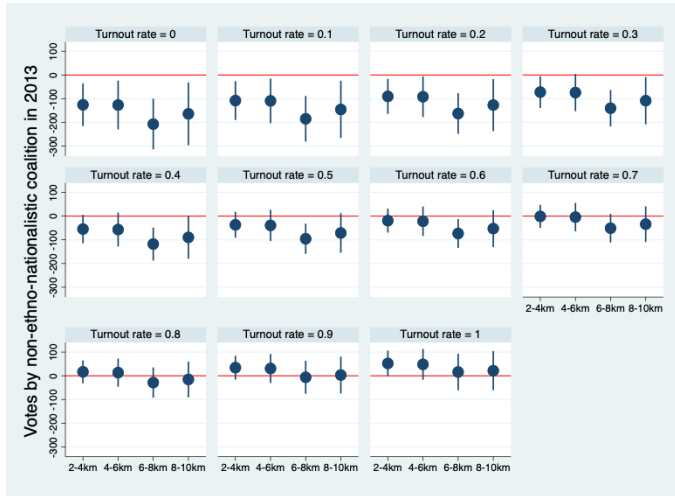


In polling districts where
number of registered Malay voters > Chinese voters

Note. Similar results from polling districts with $\leq 10\%$, 20% , 30% , 40% , and 50% of Chinese voters

► Alternative Explanations

Effects of Varying Ethnic Chinese Voter Turnout Rates on the Vote Shares



► Alternative Explanations

OLS: Malay New Villages, Ethno-Nationalist Support and Ethnic Shares

	Vote Share		Chinese Share	Malay Share
	State	Federal		
	(1)	(2)	(3)	(4)
2-4km	0.895 (3.416)	1.303 (3.670)	-3.630 (5.394)	6.311 (5.996)
4-6km	0.046 (2.680)	-0.096 (2.816)	-0.257 (4.265)	0.283 (4.801)
6-8km	2.040 (3.469)	2.045 (3.348)	-6.136 (4.897)	5.866 (5.265)
8-10km	2.705 (3.431)	1.221 (3.402)	-3.488 (4.660)	4.013 (5.548)
Observations	722	722	722	722
Dep. Var. Mean	53.363	53.257	26.391	61.503
Dep. Var. SD	18.723	18.728	30.503	34.140
Number of Clusters	51	51	51	51
Parliamentary Constituency FE	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes

Notes: This table reports OLS estimates of Equation 1. The dependent variables are ethno-nationalist coalition vote share in the state elections of 2013 (column 1) and in the federal elections of 2013 (column 2), ethnic Chinese share of registered voters in 2013 (column 3) and ethnic Malay share of registered voters in 2013 (column 4). The sample comprises polling districts in Johor, Kedah, Melaka, Negeri Sembilan, Perak, Selangor, and Pahang, after excluding polling districts in historically urban areas and polling districts beyond 10km of a Malay New Village. In all columns, federal parliamentary constituency fixed effects and controls are included. Controls are mentioned in the main text. Standard errors are clustered at the federal parliamentary constituency level. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

OLS: Chinese New Villages and Winning Coalition is Civic-nationalist

	Winning Coalition is PR, 2013		Winning Coalition is PH, 2018	
	State	Federal	State	Federal
	(1)	(2)	(3)	(4)
2-4km	-0.044 (0.038)	0.023 (0.045)	-0.046 (0.043)	-0.022 (0.036)
4-6km	-0.107* (0.061)	-0.071 (0.062)	-0.021 (0.059)	-0.022 (0.051)
6-8km	-0.087 (0.074)	-0.035 (0.076)	-0.004 (0.074)	-0.041 (0.071)
8-10km	-0.154* (0.082)	-0.087 (0.086)	0.021 (0.082)	-0.095 (0.086)
Observations	1,457	1,457	1,592	1,592
Dep. Var. Mean	0.353	0.340	0.542	0.640
Dep. Var. SD	0.478	0.474	0.498	0.480
Number of Clusters	83	83	85	85
Controls	Yes	Yes	Yes	Yes

Notes: This table reports OLS estimates of Equation 1. The dependent variable equals 1 if a party in the People's Alliance coalition won a: state constituency seat in 2013 (column 1); federal constituency seat in 2013 (column 2); state constituency seat in 2018 (column 3); federal constituency seat in 2018 (column 4). The sample comprises polling districts in Johor, Kedah, Melaka, Negeri Sembilan, Perak, Selangor, and Pahang, after excluding polling districts that contain Chinese New Village population, polling districts in historically urban areas and polling districts beyond 10km of a Chinese New Village. In all columns, controls are included. Controls are mentioned in the main text. Standard errors are clustered at the federal parliamentary constituency level. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Empirical Strategy for the Primary Survey Sample [▶ Back](#)

- ① For each actual CNV resettlement site, to select a single counterfactual (control) resettlement site, we use 1:1 nearest-neighbor matching on four variables (elevation, slope, market access to pre-existing villages, distance to the nearest pre-existing Malay village)
- ② Select a maximum of two treatment and two control Malay villages based on their proximity (within 0-2km) to each real and counterfactual resettlement site

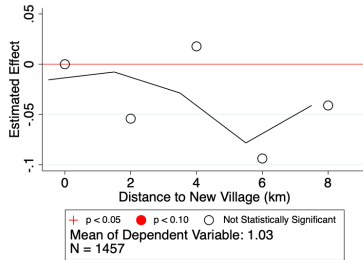
We then estimate

$$Y_{iv} = \alpha + \beta_1 T_{iv} + \beta_2 Age \geq 60_{iv} + \beta_3 (T \times Age \geq 60)_{iv} + \theta_{enum} + \theta_c + \epsilon_{iv}$$

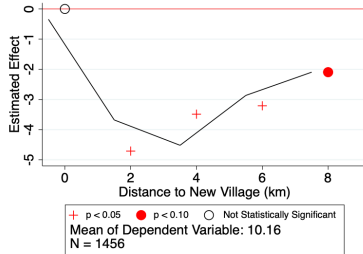
where

- Y_{iv} : outcome of interest for individual i in village v
- T_{iv} : = 1 if a Malay lives in a Malay village whose centroid lies within 2km of a **real** CNV;
= 0 if a Malay lives within 2km of a **fake** CNV.

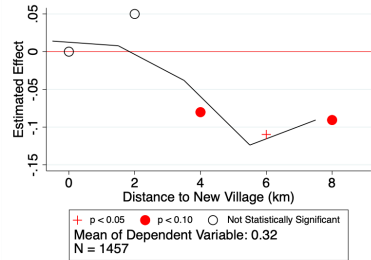
(4) Public Goods Provision [▶ Back](#)



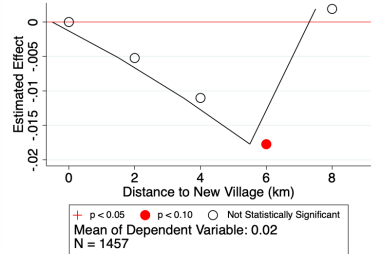
Number of primary schools



Road density



Number of secondary schools



Number of hospitals